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MODEL QUESTIONS

Part-A Multiple Choice Questions

1. The primary factors of production are:
   a. Labour and Organisation
   b. Labour and Capital
   c. Land and Capital
   d. Land and Labour.

2. The man-made physical goods used to produce other goods and services are referred to as.
   a. Land b. Labour
   c. Capital d. Organization.

3. Formula for calculating AP is
   a. ΔTP/N
   b. ΔTP/ΔN
   c. TP/MP
   d. TP/N

4. Which factor is called the changing agent of the Society
   a. Labourer
   b. Land
   c. Organizer
   d. Capital

5. Who said, that one of the key of an entrepreneur is "uncertainty-bearing".
   a. J.B.Clark
   b. Schumpeter
   c. Knight
   d. Adam Smith

6. The functional relationship between "inputs" and "outputs" is called as
   a. Consumption Function
   b. Production Function
   c. Savings Function
   d. Investment Function

7. In a firm 5 units of factors produce 24units of the product. When the number of factor increases by one, the production increases to 30 units. Calculate the Avarage Product.
   a. 30
   b. 6
   c. 5
   d. 24

8. The short-run production is studied through
   a. The Laws of Returns to Scale
   b. The Law of Variable Proportions
   c. Iso-quants
   d. Law of Demand

9. The long-run production function is explained by
   a. Law of Demand
   b. Law of Supply
   c. Returns to Scale
   d. Law of Variable Proportions